



time—food, whether sweetened or savoury, should be grouped at a single 5% rate, with limited exceptions like high-sugar powdered drinks/beverages. For day-to-day purchases there should be no confusion due to classification.

**AABHA BAKAYA:** The impact of the US tariff was pegged at 0.5% of GDP. There are estimates that the GST rate reduction could boost household consumption and add about 0.5 percentage points to the GDP. Was the timing aimed at sentiment and real returns?

**A:** That may be an unintended effect, but no, we didn't start with that. I read reports of "+60 bps" and so on. Ideally, we wanted to reform GST even by the fifth year. However, the Covid-19 pandemic and

revival after that delayed us. After eight years, we had learned enough to introduce corrective measures. Prime objective: reform (rate rationalisation, slabs, ease of doing business, system correction). GDP or tariff considerations weren't the intent.

**AUDIENCE Q:** What are the projected revenue implications and when will the GST Appellate Tribunal (GSTAT) become operational to hear cases?

**A:** GSTAT is 99% ready; all benches are set up, and they should start hearing cases in a matter of days. Rate reduction/rationalisation will help citizens; companies and traders must pass them on, we have assurances. On states' revenue, remember: the Council includes the Centre too. Revenue reduction affects the Centre also. We are not donors; we are a party. Pre-GST, both the Centre and states gave up taxes for GST. Recognise that approach.

**SAKSHI BATRA:** It's been a landmark year for tax reforms—direct taxes, then indirect; even an Income Tax Bill. Yet markets haven't rallied much. Why do you think they have not?

**A:** Markets react to many issues simultaneously. I won't say GST news alone should excite them. This good news did play out somewhat, the day after the announcement you saw the market reaction. As for "we're paying tax on this and that"—that's where we wanted simplification and reduction. We've done as much as possible. Responses are coming—"this will impact my life."

**SHAKIL:** You led the finance ministry during Covid and now in uncertain global times. Compare then and now?

**A:** We learned many lessons from Covid. I even told the Council: when states worry about revenue loss, remember the Centre has exclusive responsibilities like defence.

During Covid, the PM did not waver—he said, "Don't search for revenue; give free vaccination to our people." Two doses free for 1.4 billion people—we had to borrow and arrange. I cited this in the Council. We should first give respite to citizens, then think of mobilising revenue—how, from where. As the PM did—relief first (free vaccines) then and now tax relief so people can spend. Governments are empowered to mobilise resources, that's our responsibility. With strong leadership, people will get relief and the economy will improve as a result. **BT**